

FORM TP 2011110



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C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 03/2 – General Proficiency

1 hour

Answer ALL the questions.

**In addition to the 1 hour, candidates are
allowed 15 minutes to read through this
paper. Writing MAY begin during this time.**

**The use of silent non-programmable scientific
calculators is allowed for this paper.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

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INSTRUCTIONS:

This paper consists of a Case Study and a template for a Business Plan. You are required to use the information from the Case Study to complete the Business Plan.

CASE STUDY

THE JUICE KING

Five years ago, Jason Jeremy opened a small parlour on the outskirts of the city to make and sell a variety of fruit juices. His business was able to survive the competition of the three other producers of fruit juices located within a one-mile radius and he became known as 'The Juice King'. His rivals even suggested that he laced his drinks with a secret ingredient which forced his customers to always return for more. His success was, however, based on competitive prices, the cleanliness of his premises, coupled with the high quality of the goods and services he offered his loyal customers. His satisfied customers always referred potential clients to his shop. Some of his customers suggested that he expand the business to include vegetarian lunches. However, his parlour was too small to provide adequate space for this expansion.

The proposal for the expansion included a van driver and a loader; Jason's wife, who will be in charge of two cooks and the cashier; each cook will supervise three service girls. There will also be a security guard. Jason will be the general manager.

Using the template below, complete the Business Plan with information from the Case Study.

BUSINESS PLAN

OPERATIONAL PLAN

1. Nature and type of business

Classify the business based on its ownership type.

(1 mark)

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2. Internal Structure of Organization

Draw and label an organizational chart for the business based on the proposed expansion.

(3 marks)

3. Management Functions

- (a) Identify TWO factors that have contributed to the success of 'The Juice King'.

(2 marks)

- (b) State TWO ways in which customers showed that they were satisfied with the services provided by Jason.

(2 marks)

4. Ethical Issues

Identify TWO ethical issues that could affect the business in a negative way.

(2 marks)

Total 10 marks

MARKETING PLAN

As a result of the overwhelming encouragement, Jason conducted market research which revealed that more than 75 per cent of his regular customers were willing to support the idea. His opportunity came when a fast food business in the city discontinued operations. He immediately started negotiations to rent the vacant premises and to acquire the used appliances and equipment. These premises were located within walking distance from a large office complex and also were accessible to the general public visiting the city. However, there were two other vegetarian-type businesses on the block. 'Jeremy Fruit Juices and Vegetarian Cuisine Ltd.' became the name of the enterprise. The business now required a substantial injection of capital and a complete reorganization. Jason's wife was a certified food preparation technician and agreed to join him in financing and managing the business.

5. Market Research

Describe TWO likely methods that Jason may have used to conduct his market research.

(2 marks)

6. Industry Trend

Evaluate the prospects for growth and survival of this type of industry.

(2 marks)

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7. Size of Market

- (a) Given the competition in the new location, outline THREE strategies which Jason can employ to ensure survival of his business.

(3 marks)

- (b) State TWO advantages which Jason will enjoy from expanding the business from 'The Juice King' to 'Jeremy Fruit Juices and Cuisine Ltd.'.

(2 marks)

- (c) State TWO disadvantages of the expansion of the business from 'The Juice King' to 'Jeremy Fruit Juices and Cuisine Ltd.'.

(2 marks)

8. Target Market

Identify TWO types of customers that may be targeted by the new business.

(2 marks)

9. Promotional Strategies

List THREE promotional strategies that the business can use to promote its products.

(3 marks)

10. Distribution Strategies

State TWO ways by which the business can make its products available to customers.

(2 marks)

11. Executive Summary

Give a concise statement on the reasons why the marketing plan is likely to be successful.

(2 marks)

Total 20 marks

FINANCIAL PLAN

In order to retrofit the new premises and provide sufficient working capital, Jason's wife contributed \$150 000 and he contributed \$300 000. They obtained a loan of \$360 000 at 10 per cent interest per annum. A van was purchased to transport the raw materials (fruits and vegetables).

The following expenses were incurred **in the first month of operations**:

	\$
Promotional expenses	5 000
Interest on bank loan	
Wages and salaries	70 000
Consumables (paper plates etc.)	15 000
National insurance	6 000
Utilities	3 000
Stocks	25 000
Security	6 000
Rent of premises	8 000
Insurance	1 000
Incidentals/Other	7 000

12. Calculate the TOTAL expenses that the business will incur during its first month of operation. (Show all working.)

(3 marks)

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13. Calculate the amount of gross profit that is required for the month, in order to realize a net profit of \$120 000.

(3 marks)

14. Identify ONE current asset and ONE fixed asset of the business.

(2 mark)

15. State TWO sources from which the business obtained its capital.

(2 marks)

Total 10 marks

END OF TEST